

Spotify investment analysis

Why could Spotify be a good investment?

- Spotify is a global leader in music streaming
- Strong brand
- Exploring new markets such as audiobooks and podcasts

How does Spotify make money?

Spotify makes most of their money from their premium monthly subscriptions, which offer added benefits such as; no advertising unlimited streaming and music downloads. In addition, Spotify also profits from their free subscriptions by charging companies to run advertisements on their behalf.

How many active users does Spotify have?

Spotify currently has 761 million monthly active users with 293 million premium users resulting in 38.5% of their user base paying monthly for their services.

Are paying subscribers growing faster than competitors?

Spotify has experienced a 9% growth in premium users in the past year. Spotify continues to grow premium subscribers faster than many competitors, helping it maintain its leadership position in music streaming.

Is Spotify extracting more value from each customer?

Spotify currently has a ARPU of £4.12. However, this is most likely to increase in the future with Spotify's dedication towards revenue optimisation compared to subscription milestones. Rising ARPU is important because it demonstrates Spotify's ability to generate more revenue from each customer through pricing increases and premium services.

Is profitability improving?

Spotify gross margin is currently 32.31%. Comparing this to their 2021 gross margin of 25.57% this is a 6.94% increase over a 5-year period, suggesting that Spotify is becoming more efficient and gaining greater operating leverage as it scales.

Who are Spotify's competitors.

Spotify's main competitors are Apple music, YouTube music, Amazon music and Tencent Music Entertainment.

Why do users use Spotify?

Spotify benefits from strong user engagement and personalised recommendation algorithms, which increase customer retention and create barriers to switching.

Can Spotify explore new markets?

Over the past couple of years, the rise of podcasts and audiobooks has opened a new window for Spotify, who now offer these services. Spotify has now begun to optimise engagement of different user bases potentially being the first major audio platform compared to just another music streaming service.

Can it continue increasing prices without losing subscribers?

Spotify has experienced a drop in stock prices due to new increase in subscription prices. This has upset some of its user base who have begun seeking alternatives with lower pricing. If Spotify is to continue, they must optimise prices without pushing away active subscribers.

Can margins improve if content costs remain high?

Spotify's royalty payments remain one of its largest expenses. Margin expansion may come from higher advertising revenue, increased audiobook monetisation, greater pricing power, and economies of scale. However, royalty costs are likely to remain a long-term constraint on profitability.

Resources compared to competitors.

Other big brands like Apple, Amazon and YouTube Music have alternative income sources, these music services are offered as an additional add-on to other products. These companies can allocate additional resources generated from their other products, to improve their services. Compared to Spotify who only rely on their streaming services as sources of income they are limited to how much resources and capital can be allocated to their products.

Valuation

Investors must consider whether Spotify's current share price already reflects expectations of future subscriber growth and profitability improvements. If growth slows, the stock may face downward pressure despite strong business fundamentals.

Conclusion

Spotify appears attractive because it combines market leadership, subscriber growth, and improving profitability. While competition and royalty expenses remain significant risks, the company's growing scale and pricing power suggest further upside potential.

Final Investment Thesis

Spotify is an attractive investment because it combines market leadership, growing premium subscribers, improving profitability, and opportunities in adjacent audio markets such as podcasts and audiobooks. While competition from large technology

companies remains a risk, Spotify's scale and user engagement position it well for long-term growth